Assets

# 321 Investments—Equity Securities

# 321 Investments—Equity Securities

## 10 Overall

# 00 Status

**General Note**:The Status Section identifies changes to this Subtopic resulting from Accounting Standards Updates. The Section provides references to the affected Codification content and links to the related Accounting Standards Updates. Nonsubstantive changes for items such as editorial, link and similar corrections are included separately in Maintenance Updates.

## General

**321-10-00-1** The following table identifies the changes made to this Subtopic.

| Paragraph | Action | Accounting Standards Update | Date |
|---|---|---|---|
| Equity Security (1st def.) | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| Fair Value (2nd def.) | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| Holding Gain or Loss | Amended | Accounting Standards Update No. 2016-13 | 06/16/2016 |
| Holding Gain or Loss | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| Market Participants | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| Orderly Transaction | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| Readily Determinable Fair Value | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| Related Parties | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| Security (2nd def.) | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| 321-10-05-1 | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| 321-10-05-2 | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |

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|---|---|---|---|
| 321-10-15-1 through 15-6 | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| 321-10-15-3 | Amended | Accounting Standards Update No. 2019-04 | 04/25/2019 |
| 321-10-15-5 | Amended | Maintenance Update 2017-06 | 04/07/2017 |
| 321-10-15-6 | Amended | Accounting Standards Update No. 2020-01 | 01/16/2020 |
| 321-10-15-7 | Added | Accounting Standards Update No. 2025-07 | 09/29/2025 |
| 321-10-30-1 | Amended | Accounting Standards Update No. 2020-01 | 01/16/2020 |
| 321-10-30-1 | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| 321-10-35-1 through 35-6 | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| 321-10-35-2 | Amended | Accounting Standards Update No. 2019-04 | 04/25/2019 |
| 321-10-35-2 | Amended | Accounting Standards Update No. 2018-03 | 02/28/2018 |
| 321-10-40-1 | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| 321-10-45-1 | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| 321-10-45-2 | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| 321-10-50-1 through 50-4 | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| 321-10-50-2A | Amended | Maintenance Update 2018-02 | 02/02/2018 |
| 321-10-50-2A | Added | Accounting Standards Update No. 2016-14 | 08/18/2016 |
| 321-10-50-2B | Added | Accounting Standards Update No. 2019-04 | 04/25/2019 |
| 321-10-50-3 | Amended | Accounting Standards Update No. 2025-11 | 12/08/2025 |
| 321-10-50-4 | Amended | Accounting Standards Update No. 2025-11 | 12/08/2025 |
| 321-10-55-1 through 55-9 | Added | Accounting Standards Update No. 2016-01 | 01/05/2016 |
| 321-10-55-3 | Amended | Accounting Standards Update No. 2020-01 | 01/16/2020 |

| | | | |
|---|---|---|---|
| 321-10-55-9 | Amended | Accounting Standards Update No. 2018-03 | 02/28/2018 |

# 05 Background

ⓘ **General Note**:The Overview and Background Section provides overview and background material for the guidance contained in the Subtopic. It does not provide the historical background or due process. It may contain certain material that users generally consider useful to understand the typical situations addressed by the standards. The Section does not summarize the accounting and reporting requirements.

## General

**321-10-05-1** The Codification contains several Topics for investments because of the differing accounting treatment for various forms of investment. The Topics include:

a. Topic 320, Investments—Debt Securities

b. Topic 321, Investments—Equity Securities

c. Topic 323, Investments—Equity Method and Joint Ventures

d. Topic 325, Investments—Other.

**321-10-05-2** This topic addresses the accounting and reporting for investments in equity securities.

# 15 Scope and Scope Exceptions

ⓘ **General Note**:The Scope and Scope Exceptions Section outlines the items (for example, the entities, transactions, instruments, or events) to which the guidance in the Subtopic does or does not apply. In some cases, the Section may contain definitional or other text to frame the scope.

## General

### > Overall Guidance

**321-10-15-1** The Scope Section of the Overall Subtopic establishes the scope for the Investments—Equity Securities Topic.

## > Entities

**321-10-15-2** The guidance in the Investments—Equity Securities Topic applies to all entities, including the following entities that are not deemed to be specialized industries for purposes of this Topic:

a. Cooperatives and mutual entities (such as credit unions and mutual insurance entities)

b. Trusts that do not report substantially all of their securities at fair value.

**321-10-15-3** The guidance in this Topic does not apply to entities in certain specialized industries whose specialized accounting practices include accounting for substantially all investments at fair value, with changes in value recognized in earnings (income) or in the change in net assets. Examples of those entities are:

a. Brokers and dealers in securities (Topic 940)

b. Defined benefit pension, other postretirement, and health and welfare plans (Topics 960, 962, and 965)

c. Investment companies (Topic 946).

## > Instruments

**321-10-15-4** The guidance in the Investments—Equity Securities Topic establishes standards of financial accounting and reporting for investments in equity securities and other ownership interests in an entity, including investments in partnerships, unincorporated joint ventures, and limited liability companies as if those other ownership interests are equity securities.

**321-10-15-5** The guidance in this Topic does not apply to any of the following:

a. Derivative instruments that are subject to the requirements of Topic 815, including those that have been separated from a host contract as required by Section 815-15-25. If an investment otherwise would be in the scope of this Topic and it has within it an embedded derivative that is required by that Section to be separated, the host instrument (as described in that Section) remains within the scope of this Topic.

b. Investments accounted for under the equity method (Topic 323).

c. Investments in consolidated subsidiaries.

d. An exchange membership that has the characteristics specified in paragraph 940-340-25-1(b) for an ownership interest in the exchange.

e. Federal Home Loan Bank and Federal Reserve Bank Stock (Subtopic 942-325).

**321-10-15-6** Paragraph 815-10-15-141 explains that the guidance in the Certain Contracts on Debt and Equity Securities Subsections applies to those forward contracts and purchased options that are not derivative instruments subject to Topic 815 but that involve the acquisition of securities that will be accounted for under Topic 321. Paragraph 815-10-15-141A provides guidance on applying the guidance in paragraph 815-10-15-141 to forward contracts and purchased options to purchase securities within the scope of Topic 321.

**321-10-15-7**

PENDING CONTENT

**Transition Date:** P December 16, 2026; N December 16, 2026 | **Transition Guidance:** 606-10-65-3

An entity shall not apply the guidance in this Topic to share-based noncash consideration from a customer for the transfer of goods or services unless and until the entity's right to receive or retain the share-based noncash consideration is unconditional under Topic 606 in accordance with paragraph 606-10-15-3A. Similarly, an entity shall not apply the guidance in this Topic to share-based noncash consideration from a counterparty for the transfer of nonfinancial assets or in substance nonfinancial assets unless and until the entity's right to receive or retain the share-based noncash consideration is unconditional under Subtopic 610-20 in accordance with paragraph 610-20-15-3A.

# 20 Glossary

**General Note:** The Master Glossary contains all terms identified as glossary terms throughout the Codification. Clicking on any term in the Master Glossary will display where the term is used. The Master Glossary may contain identical terms with different definitions, some of which may not be appropriate for a particular Subtopic. For any particular Subtopic, users should only use the glossary terms included in the particular Subtopic Glossary Section (Section 20).

Equity Security

Any security representing an ownership interest in an entity (for example, common, preferred, or other capital stock) or the right to acquire (for example, warrants, rights, forward purchase contracts, and call options) or dispose of (for example, put options and forward sale contracts) an ownership interest in an entity at fixed or determinable prices. The term equity security does not include any of the following:

a. Written equity options (because they represent obligations of the writer, not investments)

b. Cash-settled options on equity securities or options on equity-based indexes (because those instruments do not represent ownership interests in an entity)

c. Convertible debt or preferred stock that by its terms either must be redeemed by the issuing entity or is redeemable at the option of the investor.

Fair Value

The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

### Holding Gain or Loss

The net change in fair value of a security. The holding gain or loss does not include dividend or interest income recognized but not yet received, writeoffs, or the allowance for credit losses.

### Market Participants

Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics:

a. They are independent of each other, that is, they are not related parties, although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms

b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary

c. They are able to enter into a transaction for the asset or liability

d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.

### Orderly Transaction

A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (for example, a forced liquidation or distress sale).

### Readily Determinable Fair Value

An equity security has a readily determinable fair value if it meets any of the following conditions:

a. The fair value of an equity security is readily determinable if sales prices or bid-and-asked quotations are currently available on a securities exchange registered with the U.S. Securities and Exchange Commission (SEC) or in the over-the-counter market, provided that those prices or quotations for the over-the-counter market are publicly reported by the National Association of Securities Dealers Automated Quotations systems or by OTC Markets Group Inc. Restricted stock meets that definition if the restriction terminates within one year.

b. The fair value of an equity security traded only in a foreign market is readily determinable if that foreign market is of a breadth and scope comparable to one of the U.S. markets referred to above.

c. The fair value of an equity security that is an investment in a mutual fund or in a structure similar to a mutual fund (that is, a limited partnership or a venture capital entity) is readily determinable if the fair value per share (unit) is determined and published and is the basis for current transactions.

### Related Parties

Related parties include:

a. Affiliates of the entity

b. Entities for which investments in their equity securities would be required, absent the election of the fair value option under the Fair Value Option Subsection of Section 825-10-15, to be accounted for by the equity method by the investing entity

c. Trusts for the benefit of employees, such as pension and profit-sharing trusts that are managed by or under the trusteeship of management

d. Principal owners of the entity and members of their immediate families

e. Management of the entity and members of their immediate families

f. Other parties with which the entity may deal if one party controls or can significantly influence the management or operating policies of the other to an extent that one of the transacting parties might be prevented from fully pursuing its own separate interests

g. Other parties that can significantly influence the management or operating policies of the transacting parties or that have an ownership interest in one of the transacting parties and can significantly influence the other to an extent that one or more of the transacting parties might be prevented from fully pursuing its own separate interests.

Security

A share, participation, or other interest in property or in an entity of the issuer or an obligation of the issuer that has all of the following characteristics:

a. It is either represented by an instrument issued in bearer or registered form or, if not represented by an instrument, is registered in books maintained to record transfers by or on behalf of the issuer.

b. It is of a type commonly dealt in on securities exchanges or markets or, when represented by an instrument, is commonly recognized in any area in which it is issued or dealt in as a medium for investment.

c. It either is one of a class or series or by its terms is divisible into a class or series of shares, participations, interests, or obligations.

# 30 Initial Measurement

**General Note:**The Initial Measurement Section provides guidance on the criteria and amounts used to measure a particular item at the date of initial recognition.

## General

### > Equity Securities Previously Accounted for under the Equity Method

#### · > Equity Method Is No Longer Appropriate

**321-10-30-1** If an equity security no longer qualifies to be accounted for under the equity method (for example, due to a decrease in the level of ownership), the security's initial basis for which subsequent changes in fair value are measured shall be the previous carrying amount of the investment. Paragraph 323-10-35-36 states that the earnings or losses that relate to the stock retained by the investor and that were previously accrued shall remain as a part of the carrying amount of the investment and that the investment account shall not be adjusted retroactively. Upon discontinuance of the equity method, an entity shall remeasure the equity security in accordance with paragraph 321-10-35-1 or 321-10-35-2, as applicable. For purposes of applying paragraph 321-10-35-2 to the investor's retained investment, if the investor identifies observable price changes in orderly transactions for the identical or a similar investment of the same issuer that results in it discontinuing the equity method, the entity shall remeasure its retained investment at fair value immediately after it no longer applies the guidance in Topic 323.

# 35 Subsequent Measurement

**General Note**:The Subsequent Measurement Section provides guidance on an entity's subsequent measurement and subsequent recognition of an item. Situations that may result in subsequent changes to carrying amount include impairment, credit losses, fair value adjustments, depreciation and amortization, and so forth.

## General

**321-10-35-1** Except as provided in paragraph 321-10-35-2, investments in equity securities shall be measured subsequently at fair value in the statement of financial position. Unrealized holding gains and losses for equity securities shall be included in earnings.

### > Equity Securities without Readily Determinable Fair Values

**321-10-35-2** An entity may elect to measure an equity security without a readily determinable fair value that does not qualify for the practical expedient to estimate fair value in accordance with paragraph 820-10-35-59 at its cost minus impairment, if any. If an entity identifies observable price changes in orderly transactions for the identical or a similar investment of the same issuer, it shall measure the equity security at fair value as of the date that the observable transaction occurred. An election to measure an equity security in accordance with this paragraph shall be made for each investment separately. Once an entity elects to measure an equity security in accordance with this paragraph, the entity shall continue to apply the measurement guidance in this paragraph until the investment does not qualify to be measured in accordance with this paragraph (for example, if the investment has a readily determinable fair value or becomes eligible for the practical expedient to estimate fair value in accordance with paragraph 820-10-35-59). The entity shall reassess at each reporting period whether the equity investment without a readily determinable fair value qualifies to be measured in accordance with this paragraph. If an entity measures an equity security in accordance with this paragraph (and the security continues to qualify for measurement in accordance with this paragraph), the entity may subsequently elect to measure the equity security at fair value. If an entity subsequently elects to measure an equity security at fair value, the entity shall measure all identical or similar investments of the same issuer, including future purchases of identical or similar investments of the same issuer, at fair value. The election to measure those securities at fair value shall be irrevocable. Any resulting gains or losses on the securities for which that election is made shall be recorded in earnings at the time of the election.

### · > Impairment of Equity Securities without Readily Determinable Fair Values

**321-10-35-3** An equity security without a readily determinable fair value that does not qualify for the practical expedient to estimate fair value in accordance with paragraph 820-10-35-59 and is measured in accordance with paragraph 321-10-35-2 shall be written down to its fair value if a qualitative assessment indicates that the investment is impaired and the fair value of the investment is less than its carrying value, as determined using the guidance in paragraph 321-10-35-2. At each reporting period, an entity that holds an equity security shall make a qualitative assessment considering impairment indicators to evaluate whether the investment is impaired. Impairment indicators that an entity considers include, but are not limited to, the following:

a. A significant deterioration in the earnings performance, credit rating, asset quality, or business prospects of the investee

b. A significant adverse change in the regulatory, economic, or technological environment of the investee

c. A significant adverse change in the general market condition of either the geographical area or the industry in which the investee operates

d. A bona fide offer to purchase, an offer by the investee to sell, or a completed auction process for the same or similar investment for an amount less than the carrying amount of that investment

e. Factors that raise significant concerns about the investee's ability to continue as a going concern, such as negative cash flows from operations, working capital deficiencies, or noncompliance with statutory capital requirements or debt covenants.

**321-10-35-4** If an equity security without a readily determinable fair value is impaired, an entity shall include an impairment loss in net income equal to the difference between the fair value of the investment and its carrying amount. That is, if the investment is deemed to be impaired after conducting the evaluation required by paragraph 321-10-35-3, the entity shall estimate the fair value of the investment to determine the amount of the impairment loss.

## > Investment in Equity Securities of an Equity Method Investee

**321-10-35-5** Paragraphs 323-10-35-23 through 35-26 identify circumstances in which an entity must adjust the basis of its investment in equity securities of an equity method investee for the amount of an equity method loss based on the investment's seniority. For investments accounted for in accordance with this Subtopic, the adjusted basis resulting from the application of paragraphs 323-10-35-23 through 35-26 becomes the equity security's basis from which subsequent changes in fair value are measured.

## > Dividend Income from Investments in Equity Securities

**321-10-35-6** Dividend income from investments in equity securities shall be included in earnings.

# 40 Derecognition

**General Note**:The Derecognition Section provides guidance on determining whether and when an entity should remove an item from the financial statements. For example, the entity would derecognize an asset because it no longer has rights to the asset or it would derecognize a liability because it no longer has any obligation.

## General

### > Accounting for Sales of Securities

**321-10-40-1** Section 860-10-40 provides guidance on determining whether a transfer of securities shall be accounted for as a sale. With respect to equity securities, because all changes in an equity security's fair value are reported in earnings as they occur, the sale of an equity security does not necessarily give rise to a gain or loss. Generally, a debit to cash (or trade date receivable) is recorded for the sales proceeds, and a credit is recorded to remove the security at its fair value (or sales price). If the entity is not taxed on the changes in fair value, the deferred tax accounts would be adjusted. An entity that has not yet recorded the security's change in fair value to the point of sale (perhaps because fair value changes are recorded at the end of each day) will need to adjust this procedure.

# 45 Other Presentation Matters

**General Note**:The Other Presentation Matters Section provides guidance on other presentation matters not addressed in the Recognition, Initial Measurement, Subsequent Measurement, and Derecognition Sections. Other presentation matters may include items such as current or long-term balance sheet classification, cash flow presentation, earnings per share matters, and so forth. The FASB Codification also contains Presentation Topics, which provide guidance for general presentation and display items. See those Topics for general guidance.

## General

### > Cash Flow Presentation

**321-10-45-1** An entity shall classify cash flows from purchases and sales of equity securities on the basis of the nature and purpose for which it acquired the securities.

### > Statement of Financial Position

**321-10-45-2** An entity also shall refer to guidance in paragraph 825-10-45-1A on disaggregation of financial assets and financial liabilities by measurement category and form of financial asset (that is, securities or loans and receivables).

# 50 Disclosure

**General Note**:The Disclosure Section provides guidance regarding the disclosure in the notes to financial statements. In some cases, disclosure may relate to disclosure on the face of the financial statements.

## General

Related Proposed ASUs

**321-10-50-1** This Section provides disclosure guidance on information about equity securities that is required to be presented in the financial statements.

**321-10-50-2** The disclosures in this Section are required for all interim and annual periods.

**321-10-50-2A** The disclosure guidance in paragraph 321-10-50-4 is not required for entities that are within the scope of Topic 958 on not-for-profit entities.

**321-10-50-2B** To the extent that the disclosure requirements in this Subtopic achieve the fair value disclosure requirements described in Section 820-10-50 on disclosing fair value measurement, an entity need not duplicate the related fair value disclosure.

**321-10-50-3** An entity that applies the guidance in paragraph 321-10-35-2 for equity securities without readily determinable fair values shall disclose all of the following:

a. The carrying amount of investments without readily determinable fair values

b. The amount of impairments and downward adjustments, if any, both annual and cumulative

c. The amount of upward adjustments, if any, both annual and cumulative

d. As of the date of the most recent statement of financial position, additional information (in narrative form) that is sufficient to permit financial statement users to understand the quantitative disclosures and the information that the entity considered in reaching the carrying amounts and upward or downward adjustments resulting from observable price changes.

PENDING CONTENT

**Transition Date:** P December 16, 2027; N December 16, 2028 | **Transition Guidance:** 270-10-65-1

For interim and annual reporting periods, an entity that applies the guidance in paragraph 321-10-35-2 for equity securities without readily determinable fair values shall disclose all of the following:

a. The carrying amount of investments without readily determinable fair values

b. The amount of impairments and downward adjustments, if any, both annual and cumulative

c. The amount of upward adjustments, if any, both annual and cumulative

d. As of the date of the most recent statement of financial position, additional information (in narrative form) that is sufficient to permit financial statement users to understand the quantitative disclosures and the information that the entity considered in reaching the carrying amounts and upward or downward adjustments resulting from observable price changes.

**321-10-50-4** For each period for which the results of operations are presented, an entity shall disclose the portion of unrealized gains and losses for the period that relates to equity securities still held at the reporting date. The portion of unrealized gains and losses for the period related to equity securities still held at the reporting date is calculated as follows.

| | |
|---|---|
| Net gains and losses recognized during the period on equity securities | $105 |
| Less: Net gains and losses recognized during the period on equity securities sold during the period | (80) |
| Unrealized gains and losses recognized during the reporting period on equity securities still held at the reporting date | $ 25 |

PENDING CONTENT

**Transition Date:** P December 16, 2027; N December 16, 2028 | **Transition Guidance:** 270-10-65-1

For each interim and annual reporting period for which the results of operations are presented, an entity shall disclose the portion of unrealized gains and losses for the period that relates to equity securities still held at the reporting date. The portion of unrealized gains and losses for the period related to equity securities still held at the reporting date is calculated as follows.

| | |
|---|---|
| Net gains and losses recognized during the period on equity securities | $105 |
| Less: Net gains and losses recognized during the period on equity securities sold during the period | (80) |
| Unrealized gains and losses recognized during the reporting period on equity securities still held at the reporting date | $ 25 |

# 55 Implementation Guidance and Illustrations

ⓘ **General Note**:The Implementation Guidance and Illustrations Section contains implementation guidance and illustrations that are an integral part of the Subtopic. The implementation guidance and illustrations do not address all possible variations. Users must consider carefully the actual facts and circumstances in relation to the requirements of the Subtopic.

# General

## > Implementation Guidance

### · > Scope Application to Certain Instruments and Transactions

**321-10-55-1** The implementation guidance in paragraphs 321-10-55-2 through 55-4 discusses the scope application of this Topic to the following instruments and transactions.

a. Convertible preferred stock
b. Call options and forward contracts on equity securities
c. Short sales of equity securities.

#### · · > Convertible Preferred Stock

**321-10-55-2** If convertible preferred stock is not redeemable, it is considered an equity security and, therefore, this Topic would apply.

#### · · > Call Options and Forward Contracts on Equity Securities

**321-10-55-3** An option to buy an equity security that does not meet the definition of a derivative instrument is within the scope of this Topic. An investment in an option on securities should be accounted for under the requirements of Subtopic 815-10 if the option meets the definition of a derivative instrument, including the criteria for net settlement in paragraph 815-10-15-83(c). This Topic applies to those forward contracts and options that are not derivative instruments subject to Subtopic 815-10 but that involve the acquisition of securities that will be accounted for under this Topic. Paragraph 815-10-15-141A provides guidance on applying the guidance in paragraph 815-10-15-141 to forward contracts and purchased options to purchase securities within the scope of Topic 321.

#### · · > Short Sales of Equity Securities

**321-10-55-4** Sales of securities that the seller does not own at the time of sale are obligations to deliver securities, not investments. Short sale obligations are addressed in the guidance for certain industries (see paragraph 940-320-35-1 with respect to broker-dealers and paragraph 942-405-25-1 with respect to depository institutions). For guidance on evaluating whether a short sale transaction involves a derivative instrument, see paragraph 815-10-55-57.

### · > Scope Application by Noncontrolling Shareholders

**321-10-55-5** Paragraph 970-323-25-10 explains that an investment in a corporate subsidiary that is a real estate venture shall be accounted for by the investor-parent using the principles applicable to investments in subsidiaries rather than those applicable to investments in corporate joint ventures. That is, that paragraph requires that noncontrolling shareholders in such a real estate venture should account for their investment using the principles applicable to investments in common stock set forth in Topic 323 or this Topic as applicable.

### · > Scope Application: No Look-Through Permitted

**321-10-55-6** An entity should not look through the form of its investment to the nature of the securities held by an investee to determine whether the scope of this Topic applies.

**321-10-55-7** For example, an entity invests in a limited partnership interest (or a venture capital entity) that meets the definition of an equity security. However, substantially all of the partnership's assets consist of investments in debt securities or equity securities. It is not appropriate to look through the form of an investment to determine whether this Topic applies. In the specific situation described in this paragraph, the investment would be considered an equity security. So, this Topic would apply to that type of investment. (Subtopic 323-30 provides guidance on the accounting for limited partnership investments.) Another example of an investment that is considered an equity security is an investment in a mutual fund that invests only in U.S. government debt securities.

### · > Equity Securities without Readily Determinable Fair Values

#### · · > Identifying Observable Price Changes

**321-10-55-8** To identify observable price changes, an entity should consider relevant transactions that occurred on or before the balance sheet date that are known or can reasonably be known. To identify price changes that can reasonably be known, the entity should make a reasonable effort (that is without expending undue cost and effort) to identify any observable transactions that it may not be readily aware of. The entity need not conduct an exhaustive search for all observable price changes.

#### · · > Identifying Similar Investment of Same Issuer

**321-10-55-9** To identify whether a security issued by the same issuer is similar to the equity security held by the entity, the entity should consider the different rights and obligations of the securities. Differences in rights and obligations could include characteristics such as voting rights, distribution rights and preferences, and conversion features. The entity should adjust the observable price of a similar security for the different rights and obligations to determine the amount that should be recorded as an upward or downward adjustment in the carrying value of the security measured in accordance with paragraph 321-10-35-2 to reflect the fair value of the security as of the date that the observable transaction for the similar security took place.